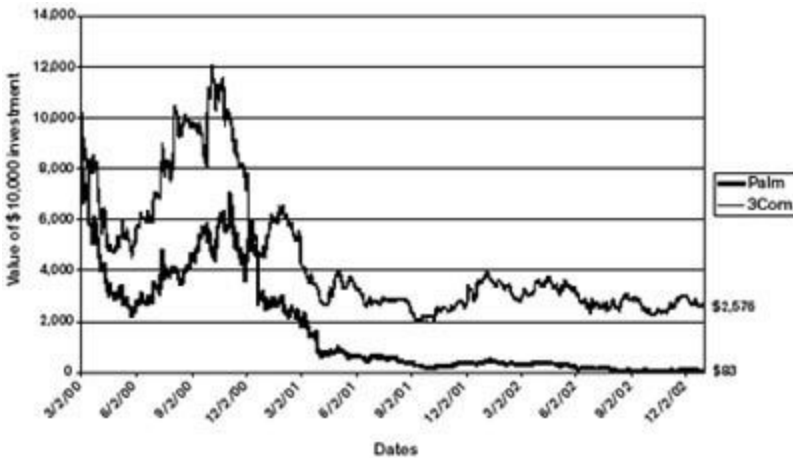




Source: www.morningstar.com

Pair 5: CMGI and CGI

The year 2000 started off with a bang for CMGI, Inc., as the stock hit \$163.22 on January 3—a gain of 1,126% over its price just one year before. The company, an “Internet incubator,” financed and acquired start-up firms in a variety of online businesses—among them such early stars as theglobe.com and [Lycos](http://Lycos.com).^{[10](#)}

In fiscal year 1998, as its stock rose from 98 cents to \$8.52, CMGI spent \$53.8 million acquiring whole or partial stakes in Internet companies. In fiscal year 1999, as its stock shot from \$8.52 to \$46.09, CMGI shelled out \$104.7 million. And in the last five months of 1999, as its shares zoomed up to \$138.44, CMGI spent \$4.1 billion on acquisitions. Virtually all the “money” was CMGI’s own privately-minted currency: its common stock, now valued at a total of more than \$40 billion.

It was a kind of magical money merry-go-round. The higher CMGI’s own stock went, the more it could afford to buy. The more CMGI could afford to buy, the higher its stock went. First stocks would go up on the rumor that CMGI might buy them; then, once CMGI acquired them, its own stock would go up because it owned them. No one cared that CMGI had lost \$127 million on its operations in the latest fiscal year.